Question 1

You are the audit manager on the audit of the financial statements of Lumen Fire & Security Ltd (LFS), a new client, for the year ended 30 June 20X5. You are currently planning the external audit team's approach to the audit of plant, property and equipment (PPE). LFS develops and manufactures fire alarm, security and lighting systems and distributes these to customers worldwide.

Your audit partner, Clive Gollings, mentioned that LFS usually carries out revaluations of its land and buildings every 3 years, with the last full valuation carried out at 30 June 20X4. Due to the development works carried out at the Birmingham distribution hub, the board has decided to undertake a revaluation of this site as a matter of urgency. The original proposal made by the board was to utilise the firm of chartered surveyors that undertakes valuations of LFS' land and buildings every 3 years, Carter Lucas Valuations Ltd (Carter). However, as no valuation was scheduled for this year, the firm is unable to provide an indication of whether it can undertake this work and LFS' operations director has made an alternative suggestion for an expert to provide a valuation.

Paul Davies, who took part in the prior year valuation process, left Carter in March 20X5 and formed his own firm. This followed the completion of his chartered surveyor qualification in February 20X5. The operations director has stated that Paul would provide these services for a much lower fee than Carter as he works alone and therefore the valuation will not be required to go through a lengthy review process. He has also suggested that, depending on the results of this engagement, LFS could consider using his services for the next full valuation of the land and buildings.

The majority of the work carried out by Paul Davies since forming his own firm has been domestic valuations and this assignment would be his first commercial activity. As the audit team will be seeking to place reliance on Paul's work at the year end, Clive has requested you evaluate the proposal to use him as the external surveyor to determine whether it is likely that reliance can be placed by the external audit team on the revaluation of the distribution hub.

Question:

Evaluate the proposal to use Paul Davies as the external surveyor to determine whether it is likely that reliance can be placed on his work by the external audit team.

(16 marks)

Question 2

You are an audit senior with a firm of registered auditors planning the audit of Northern Machinery Ltd (Machinery) for the year ended 30 June 20X5. Machinery manufactures and supplies parts for tractors to the farming industry, through its 20 depots in Aberdeen, Glasgow, Newcastle and Manchester.

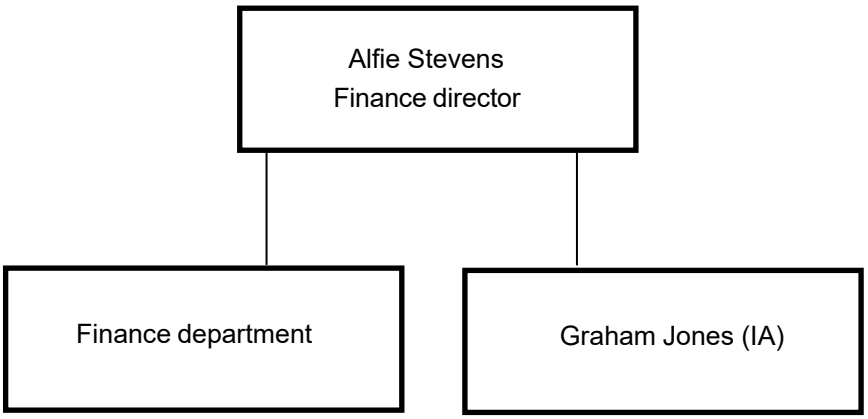
Your audit partner, Ella Davidson, recently met with Machinery's finance director, Alfie Stevens, who advised that Machinery had established an internal audit function ('IAF') in January 20X5 (review the appendix for details). Alfie is keen for the audit team to place reliance on the work of the internal audit function as he believes that this could make the audit more efficient and potentially lower the audit fee. As part of your audit planning, Ella has asked that you carry out an evaluation of the new IA function at Machinery to determine if the team would be likely to be able to place any reliance on its work for this year's audit.

Question:

Evaluate Machinery's internal audit function and conclude on whether the internal audit function can be relied on for the purposes of the external audit.

(18 marks)

APPENDIX- Machinery's IA function, provided by Alfie Stevens



The IAF is led by Graham Jones, who is a Chartered Accountant and was previously a long-serving employee within the finance department. As part of his previous role, he was responsible for preparing monthly accounts for the Aberdeen depot and reviewing sales invoicing for the recurring commercial contracts prepared by the individual depot administration teams. Machinery intends to recruit an additional full-time member to the IAF team in late 20X5 to assist Graham.

Graham will report the findings of internal audit reviews directly to Alfie Stevens on an annual basis.

Alfie has drawn up a draft IAF audit plan to be presented to the chairman of the board of directors for approval. It includes details of the work that IAF should complete by the end of June 20X5, including a visit to each of the depots to perform testing on the cash and receivables processes, as well as controls testing on each depot's banking processes and the appropriate use of credit checks and credit control for recurring commercial contracts.

Meetings have been held with the 20 depot managers, informing them that an IAF function has been established. At the meetings, several depot managers raised concerns regarding the proposed function as they believe that it will interfere with their ability to manage their individual operations and do not perceive that the function will add any value.